KEY FEATURES OF CORPORATE ISSUERS

Learning Outcome

- describe key features of corporate issuers

The prior lesson addressed several advantages of the corporate organizational form over others, such as limited owner liability, owner–manager separation, and improved access to external financing. In this lesson, we explore the features of corporations in greater depth. Corporations that raise capital in the financial markets, known as **corporate issuers**, are essential for financial analysts to understand, because they raise more capital from investors than even governments worldwide.

Legal Identity

A corporation is a legal entity separate and distinct from its owners formed through the filing of articles of incorporation with a regulatory authority. Corporations share many of the rights and responsibilities of an individual and may engage in similar activities. For example, a corporation can enter into contracts, hire employees, sue and be sued, borrow and lend money, make investments, and pay taxes.

Large corporations frequently have business operations in many different geographic regions and are subject to each regulatory jurisdiction where

- the company is incorporated,
- the business is conducted, and
- the company finances itself

and for such activities as

- registration,
- financial and non-financial reporting and disclosure, and
- capital market activities (issuance, trading, investment).

Owner–Manager Separation

A key feature of most corporations is the separation between those who own the business (the shareholders) and those who operate it, as represented by the board of directors and management. In a corporation, shareholders are largely removed from the day-to-day operations of the business. Instead, shareholders elect a board of directors that, in turn, appoints executive-level management, such as

primary responsibility to act in the best interest of shareholders and, indirectly, all stakeholders. The separation of ownership and management enables the corporation to obtain financing from a larger universe of potential investors who do not need (or want) to be involved in management.

If a board or management does not act in shareholders' best interests, shareholders can enact change through exercising **voting rights** attached to their shares—for example, by voting to replace the board of directors—though this can take time. Influencing operations or changing management outright using engagement and voting rights is a strategy pursued by some investors and will be discussed in detail in later lessons.

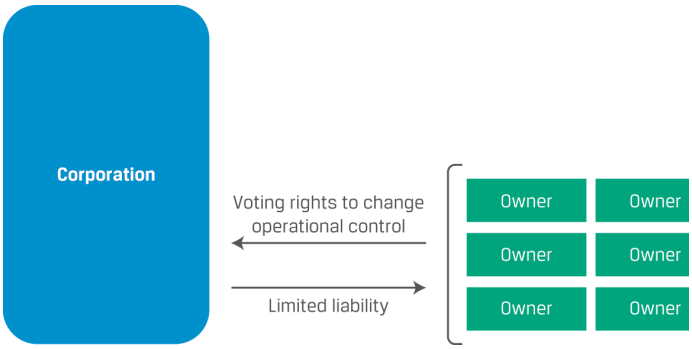
Owner/Shareholder Liability

Risk is shared among all shareholders, who face limited liability. That is, the maximum amount shareholders can lose is what they have invested in the company (i.e., the value of their shares can fall to zero but no further), and they are not responsible for the debts of the corporation unless they separately, specifically guarantee them.

Shareholders share in the risk and return of the company in proportion to their share ownership unless the corporate charter specifies differently. Unlike partnerships, ownership units are divided into shares of smaller unit size, allowing investors to more easily purchase or sell ownership interests as represented by their shares. For example, some issuers have more than 1 billion shares outstanding, meaning that ownership interests are divided into extremely small increments. Additionally, some corporations issue multiple types or classes of shares with different risk and return characteristics, which will be discussed in a later lesson. Exhibit 7 shows the relationship between owners and the corporation.

Exhibit 7:

Corporate Shareholder Liability



External Financing

The separation between ownership and management allows corporations to access external financing more easily than other

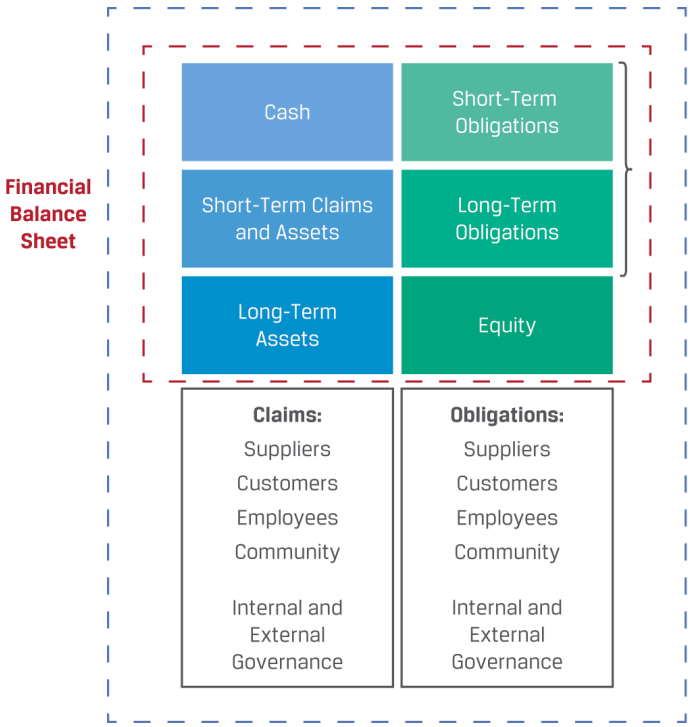
operate than other forms, the corporate form is typically preferred when capital needs exceed what could be raised by an individual or small group of partners. Financing may be provided by individuals or by institutions, such as mutual funds, pension funds, banks, governments, non-profits, and other corporations.

Corporations are financed in two ways: with **equity**, by selling shares to investors or reinvesting profits, and with borrowings, or **debt**, in the form of loans, bonds, and leases. Equity investors (shareholders) have a right to receive any distributions of profits, known as **dividends**, while debt must be repaid on a pre-specified date in the future with interest. Equity or debt financing can be raised based on a private contractual agreement between an issuer and investors or in the form of a **security**, a standardized instrument that might be tradeable among investors on a public exchange, which will be covered in the next lesson.

Exhibit 8 shows the relationship between debt and equity on a corporation's balance sheet and how these are related to its assets.

Exhibit 8:

Financial and "Economic" Balance Sheet



While the "financial" balance sheet at the top of Exhibit 8 shows an issuer's assets (left-hand side) and its sources of financing (right-hand side) from short term to long term measured in financial terms, other intangible or hard-to-quantify assets or liabilities of a firm, such as the human capital associated with its employees and supplier and

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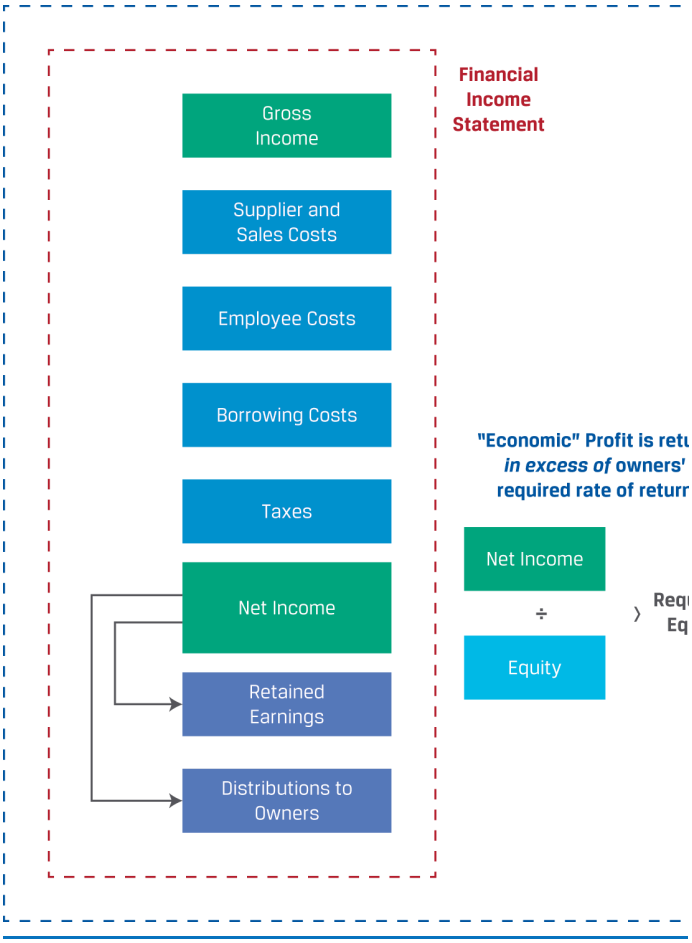
Similarly, Exhibit 9 shows an issuer's income statement and distinguishes between its financial income or net income once fixed obligations have been met and its "economic" profit, or return to a firm's owners in excess of what they could have earned elsewhere on different investments, known as their required rate of return on equity.

Exhibit 9:

Financial and "Economic" Income Statement



Taxation

While taxation for corporations can differ greatly from country to country, the corporation is ultimately subject to the tax authority and tax code governing the issuer's tax reporting, payment, and status. In most countries, corporations are taxed on their profits. Taxable profits are usually *not* the same as profits reported on financial statements, because tax codes and accounting standards differ.

In many countries, shareholders pay an additional tax on distributions (dividends) that are passed on to them. This is referred to as the **double taxation** of corporate profits. In some countries, shareholders do not pay a personal tax on dividends if the

proportional share of taxes paid by the corporation. In other countries, corporations pay no tax at all or may face different tax regimes within one country.

EXAMPLE 3

Double Taxation of Corporate Profits

1. The French retail giant Auchan Holding generated pre-tax income of €838 million last year and paid corporate taxes of €264 million. Investors in France also pay a 30% tax on dividends received. If Auchan had fully distributed its after-tax income to investors as a dividend and all its investors are in France, what is the total tax rate as a percentage of Auchan's pre-tax income?

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Despite the tax disadvantage illustrated in the prior example, the corporate form remains attractive for several reasons. While corporate shareholders are taxed on distributions, sole proprietors and partners are often taxed on all profits regardless of whether they are distributed as dividends (exceptions exist with allowances for profit reserves). This difference makes the corporate structure attractive to businesses that expect to reinvest undistributed profits in, for example, additional capacity for growth. Also, in jurisdictions where corporate tax rates are lower than personal income tax rates, it can be advantageous to "store" profits in the business.

Question Set

1. Explain why the separation of ownership from management allows for corporate issuers to have greater access to capital.

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2. Fill in the blanks in the following sentence:

   Limited liability of shareholders refers to the fact that the _____ amount shareholders may lose on their investment is the _____ paid to buy the shares.

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3. In which of the following situations does the double taxation of the corporate organizational form matter the *least*?

   A. The company expects to pay all its after-tax income as a dividend to shareholders each year.
   B. The company's shareholders reside in a tax jurisdiction with a high tax rate on dividend income.

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4. Referring to the Auchan Holding example in this lesson, calculate the amount of the tax disadvantage (in euros) Auchan has in its corporate form compared to if it were organized as a limited partnership. Recall that Auchan's pre-tax profit was €838 million, the corporate tax rate was 31.5%, the personal income tax rate was 30%, and all after-tax profits were distributed.

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5. Corporate issuers are characterized by all of the following *except*:

   A. Corporate income is taxed at both the corporate and personal levels.
   B. Owners do not need to be involved in management of the company.
   C. The owners of the corporation are not legally distinct from the corporation.

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